CORPORATE REPORTING

Suggested Answers
November-December 2023

Answer to the Question#: 1:

Atlas Chemicals Limited
Consolidated Statement of Profit or Loss
For the year ended 31 December 2022

	Notes	Atlas	Apollo	Ares (1/2)	Consol Adj	Consolidated
Revenue	6,7	1,213,260,632	788,619,411	307,561,570	(423,978,190)	2,733,419,803
Cost of revenue	6,7,8	(974,029,129)	(670,326,499)	(258,075,702)	423,978,190	(2,334,017,830)
Less: PURP		0	0	0	(7,608,310)	
Gross Profit		**239,231,503**	**118,292,912**	**49,485,868**	**(7,608,310)**	**399,401,973**
Administrative expenses		(168,942,020)	(69,157,592)	(29,391,977)	-	(267,491,589)
Selling & distribution expenses		(60,278,654)	(35,139,542)	(15,637,096)	-	(111,055,292)
Foreign expenses		(18,340,602)	-	-	-	(18,340,602)
Other income	12	57,261,530	1,925,864	-	(100,000)	59,087,394
Profit before interest & taxes		**48,931,757**	**15,921,642**	**4,456,796**	**(7,708,310)**	**61,601,885**
Finance income		1,569,241	-	-	-	1,569,241
Finance expenses	12	(8,206,939)	(3,392,345)	(1,390,862)	100,000	(12,890,146)
Profit before taxes		**42,294,059**	**12,529,297**	**3,065,934**	**(7,608,310)**	**50,280,980**
Tax expenses		(17,956,409)	(3,282,324)	(858,462)	-	(22,097,195)
Profit for the year		**24,337,650**	**9,246,973**	**2,207,473**	**(7,608,310)**	**28,183,786**

Atlas Chemicals Limited
Consolidated Statement of Financial Position
For the year ended 31 December 2022

	Notes	Atlas	Apollo	Consol Adj	Consolidated
Assets					
Non-current assets					
Property, plant & equipment		266,401,585	99,880,710	-	366,282,295
Investment in associates	10	102,500,000	-	(68,717,064)	33,782,936
Right-of-use assets		69,493,029	23,745,080	-	93,238,109
Deferred tax		18,457,026	-	-	18,457,026
Goodwill	4	-	-	27,376,937	27,376,937
		456,851,640	**123,625,790**	**(41,340,127)**	**539,137,303**
Current Assets					
Financial assets		254,910,104	89,469,760	-	344,379,864
Trade receivables	9	259,142,543	189,589,826	(120,000,000)	328,732,369
Inventories	8	200,244,403	190,207,744	(7,608,310)	382,843,837
Cash & cash equivalents	9	334,851,310	67,106,880	20,000,000	421,958,190
		1,049,148,360	**536,374,210**	**(107,608,310)**	**1,477,914,260**

Total assets		**1,506,000,000**	**660,000,000**	**(148,948,437)**	**2,017,051,563**
Equity & liabilities					
Equity					
Share capital		450,000,000	75,000,000	(75,000,000)	450,000,000
Retained earnings	11	233,059,464	111,868,543	(20,665,573)	324,262,434
Non-controling interest	1	-	-	46,717,136	46,717,136
		683,059,464	**186,868,543**	**(48,948,437)**	**820,979,570**
Non-current liabilities					
Long-term loan		149,494,985	51,327,292	-	200,822,277
Non-current lease liabilities		23,300,142	15,145,092	-	38,445,234
Deferred tax liabilities		-	5,926,457	-	5,926,457
		172,795,127	**72,398,841**	**-**	**245,193,968**
Current liabilities					
Current lease liabilities		10,686,517	7,119,909	-	17,806,426
Trade and other payables	9	250,733,424	186,454,723	(100,000,000)	337,188,147
Accruals and provisions		190,913,924	139,603,619	-	330,517,543
Other financial liabilities		197,811,544	67,554,365	-	265,365,909
		650,145,409	**400,732,616**	**(100,000,000)**	**950,878,025**
Total Equity & liabilities		**1,506,000,000**	**660,000,000**	**(148,948,437)**	**2,017,051,563**

Workings/Notes:

Workings 1: Net asset of Apollo Limited

	At Balance Sheet Date	At Acquisition	Post-Acquisition net asset
Share Capital	75,000,000	18,750,000	56,250,000
Retained earnings	111,868,543	44,747,417	67,121,126
Total	**186,868,543**	**63,497,417**	**123,371,126**
Share of Atlas (75%)	**140,151,407**	**47,623,063**	**92,528,344**
Non-controlling Interest (remaining%)	**46,717,136**	**15,874,354**	**30,842,782**

Workings 2: Net asset of Ares Limited at Disposal date

	At Disposal Date	At Acquisition	Post-Acquisition net asset
Share Capital	56,250,000	56,250,000	-
Retained earnings (Working 3)	38,065,203	27,952,757	10,112,446
Total	**94,315,203**	**84,202,757**	
Share of Atlas (70%)	**66,020,642**	**58,941,930**	**7,078,712**
Non-controlling Interest (remaining%)	**28,294,561**	**25,260,827**	**3,033,734**

Workings 3: Retained earnings of Ares at Disposal

(Assuming revenue and profit accrues evenly throughout the year)

Retained earnings at year end	40,272,675
Less: Pre disposal profit for the year (6/12)	2,207,473

Retained earnings at disposal	**38,065,202**

Workings 4: Calculation of goodwill of Apollo

Cost of acquisition	75,000,000
Less: Share of net asset acquired	(47,623,063)
Total goodwill of apollo	**27,376,937**

Workings 5: Calculation of goodwill of Ares

Cost of acquisition	55,000,000
Less: Share of net asset acquired	(58,941,930)
Purchase gain	**(3,941,930)**

It was already accounted for at the time of acquisition. Hence no more adjustment required.

Workings 6: Adjustment of intercompany revenue from Apollo

Total Revenue for the year	1,213,260,632
Percentage of Revenue from Apollo	30%
Revenue from Apollo	**363,978,190**

Workings 7: Adjustment of intercompany revenue from Ares

Total sales to Ares for the year	120,000,000
Sales to Ares before disposal (6/12)	50%
Revenue from Apollo	**60,000,000**

Post-disposal revenue shall be considered as sale to third party and will not be adjusted in consolidation. Furthermore, unsold inventories at Ares are assumed from post disposal sale. Hence there is no unrealized profit from Ares.

Workings 8: Unrealized profit in sales to Apollo

Total inventory reported by Apollo	190,207,744
Percentage of inventory unsold from Atlas	10%
Total Atlas inventory unsold by Apollo	**190,207,74**
Margin earning by Atlas	40%
Total unrealized profit	**7,608,310**

This amount will be reduced from inventory during consolidation adjustment.

Workings 9: Intercompany receivables & payables

As Ares has been disposed, receivable/payables from Ares will not be adjusted in consolidation as it is no longer within the group. However intercompany balances with Apollo will be adjusted.

Of the receivable of BDT 120,000,000 from Apollo, 20,000,000 has been paid by Apollo but not yet credited in Atlas bank. Hence it will be considered as cash in transit and added with cash. Rest of the balance will be adjusted during consolidation.

Workings 10: Investment in Ares in Equity Method

Net Asset attributed to Atlas	66,020,642	
Less: Disposed (50%)	(33,010,321)	33,010,321
Add: Share of post disposal profit (4,414,945 x 6/12 x 35%)		772,615
Balance of investment in Ares in Equity Method		**33,782,936**

Workings 11: Retained earnings

Atlas own retained earnings	233,059,464		
Less: PURP	(7,608,310)		225,451,154
Add: Share of R/E in Ares in equity method:			
Balance of investment in Ares (W10)		33,782,936	
Less: Cost of investment (55,000,000/2)		(27,500,000)	6,282,936
Add: Share of post-acquisition net asset in Apollo			92,528,344
Total retained earnings			**324,262,435**

Workings 12: Adjustment of guaranty charge

As Atlas charged a guaranty charge to Apollo, it became an intercompany transaction which need to be removed from consolidation. Hence, Atlas other income and Apollos financing expense has to be reversed by 100,000 respectively.

Workings 13: Amounts of Ares profit or loss in consolidation

Ares was disposed on 01 July 2022 which means half of the year it was under group's control and therefore half of its P&L amount will be considered in consolidation assuming all the numbers accrued evenly though out the year.

Answer to the Question#: 2(a):

- Sales Return:

  IFRS 15 requires revenue to be recognized with realizable amount. As management is expecting 5% return of the goods sold during month of June 2023, management should derecognize 5% revenue of June and recognize a contract liability.

  Matching with the sales return, related cost also needs to be reversed. As BCL earns 20% margin on sales, cost of sales is 80% of the sales amount. Hence (12,519,507 x 80%) = 10,015,606 taka will be reduced from cost of goods sold and a right to return asset need to be recognized. As these goods are not yet returned, it should not be accounted for in inventory. Rather it should be considered as right to return asset in current asset section.

  BCL management should make following adjustments:

Adj #1	Revenue	Dr	12,519,507	
	Contract liabilities	Cr		12,519,507
Adj # 2	Right to return asset	Dr	10,015,606	
	Cost of goods sold	Cr		10,015,606

- Write down of inventories:

  Physical verification identified that inventory of BDT 250,000 has been stolen and further inventory of BDT 1,150,000 is no longer saleable. Therefore, total inventory of 250,000 + 1,150,000 = 1,400,000 need to be written off. Cost of expired products should be reported within cost of goods sold but stolen inventory should be recorded as administrative expense as loss.

  BCL management should make following adjustments:

Adj # 3	Loss due to inventory theft	Dr	250,000	
	Cost of goods sold	Dr	1,150,000	
	Inventory	Cr		1,400,000

- Write down of receivables:

  There is ongoing litigation with a customer for outstanding receivables of 5,000,000. Customer has refused to pay due to inferior and defective products. So, there is a clear indication that the receivable has impaired and BCL should recognize 100% expected credit loss and create an allowance.

  BCL management should make following adjustments:

Adj # 4	Expected credit loss	Dr	5,000,000	
	Allowance for bad debt	Cr		5,000,000

Answer to the Question#: 2(b):

Net Adjustment in Statement of Profit or loss

Revenue	(12,519,507)
Less: Cost of goods sold [1,150,000 - 10,015,606]	(8,865,606)
Gross Profit	(3,653,901)
Less: Admin Expenses [250,000+5,000,000]	(5,250,000)
Net adjustment in operating profit & net profit	**(8,903,901)**

Net Adjustment in Statement of Financial Position

Current Assets (10,015,606 -1,400,000 -5,000,000)	3,615,606
Current Liabilities	12,519,507
Equity	8,903,901

Analysis of Financial Statements:

1. **Current Ratio:**

Current ratio = (Current Asset/Current Liabilities)

Current ratio for 2023:
(5,201,824,185+3,615,606) / (2,803,154,631+12,519,507) = 1.85

Current ratio for 2022:
(4,722,548,502 / 2,731,616,679) = 1.73

Comment:
Analysis of the adjusted financial statement shows that BCL current ratio has increased to 1.85 compared to prior year ratio of 1.73. This indicates that BCL has increased its liquidity position and have sufficient current asset to meet its current obligations. However, significant portion of these current assets are from inventories which may not be converted to cash very quickly.

2. **Quick Ratio:**

Quick ratio = (Current Asset - inventories/Current Liabilities)

Quick ratio for 2023:
(5,201,824,185+3,615,606 -3,235,692,543) / (2,803,154,631+12,519,507) = 0.70

Quick ratio for 2022:
(4,722,548,502 -3,036,773,008) / 2,731,616,679 = 0.62

Comment:
Quick ratio shows how quickly an entity can pay off its current obligation with its current assets. As inventory is not quickly convertible to cash, it has been excluded from current asset to calculate quick ratio. Analysis shows that quick ratio for BCL in 0.70 which slightly increased form 0.62 in 2022. It shows that it has ability of paying 70% of its current obligation with its liquid assets. It will face liquidity shortage if remaining 30% immediately needs to be paid as well.

3. **Debt to equity ratio (D/E ratio):**

Long term loan / total equity

D/E ratio for 2023:
3,766,894,135 / 87,659,136 = 42.97

D/E ratio for 2022:
3,539,304,104/ 8,866,054 = 399.2

Comment:

Debt to equity ratio shows abnormally high amount of debt in capital structure. Almost entire capital is financed by long term loan. This might lead of liquidity crisis and bankruptcy.

4. Gross margin

Gross margin for 2023:
Gross Profit/ Revenue = (627,904,839-3,653,901) / (3,004,681,716 -12,519,507) = 20.9%

Gross margin for 2022:
= 887,509,922 / 3,470,386,586 = 25.6%

Comment:
Analysis shows that gross margin has decreased in 2023 to 20.9% compared to 25.6% from in 2022. This might be due to increase in cost of goods sold. This indicates that BCL is losing its profitability.

5. Net Profit margin

Net profit margin for 2023:
Net Profit/ Revenue = (78,793,082-8,903,901) / (3,004,681,716 -12,519,507)
= 2.34%

Net profit margin for 2022:
= (4,322,785,128)/ 3,470,386,586 = (124.56%)

Comment:
Although BCL has earned a profit in 2023 but it is very negligible. Its net profit margin is only 2.34% of revenue. In 2022, net profit margin was negative 124.56%. Although there is a big jump in the net profit margin, but its overall performance is not satisfactory. In case there are unrecorded expenses, BCL profitability may become loss in 2023.

6. Asset Turnover ratio

Asset turnover = Total Revenue/ Total Assets

Asset turnover ratio in 2023:
(3,004,681,716 -12,519,507)/ (6,722,556,398+3,615,606) = 0.45

Asset turnover ratio in 2022:
3,470,386,586 / 6,343,912,167 = 0.55

Comment:
Analysis shows that Asset Turn Over ratio is 0.45 in 2023 and was 0.55 in 2022. This shows that BCL is able to generate revenue only half time of its total assets. This is very poor performance by BCL. Furthermore, ratio has decreased in the year 2023 which shows that BCL is not performing at optimal level.

Answer to the Question#: 2(c):

Briefing Note

To : Team Members
From : Audit Manager

Subject: Addressing the risk areas in BCL Financial Statements & ethical issues.

We have received the draft financial statement of BCL for the year ended 30 June 2023. From our analysis following risk areas has been identified that could lead to misstatement of financial statements or audit risks.

1. Going Concern:

One of the major risks in BCL audit is going concern threat of BCL. The entity has prepared the financial statements considering it to be a going concern entity. However, the financial position and financial performance indicate going concern threat.

Although BCL has generated a profit during the year, it is very negligible. It has made massive losses in the previous year due to Selling and distribution expenses. Its retained earnings show a significant negative amount. Furthermore, there is a significant portion of debt in its capital structure. All these pose a significant risk of going concern for BCL.

Addressing risk area:

As auditor, we need to verify the going concern assumption made by the management of BCL. We need to review the prospective financial information of BLC and confirm how it plans to continue its business. We need to review the assumptions it made in its prospective financial statements. Alternatively, we can take letter of comfort from its parent company confirming us that it will provide financial support to BCL when needed.

If we are unable to confirm that BCL is a going concern entity, we will have to communicate with management to revise the financial statements and prepare it under a liquidation basis. If management does not revise the financial statements, we will have to be ready to issue an adverse audit opinion. However, if management revises the financial statements with liquidation basis, we will plan for issuing a unmodified audit opinion with an emphasis of matter paragraph.

2. **Overstating revenue:**

Revenue is always an area of fraud risk. Misstatement in revenue can always massively impact the financial statements. In the year BLC revenue has decreased significantly. Despite that BCL was able to generate profit. It is to be noted that BCL didn't record sales return entry which initially overstated the revenue and gross profit. There is a risk that BCL has overstated the revenue to increase its performance and show profitability.

Addressing risk area:

We need to understand its revenue process and document how it is recognized and recorded. We need to understand revenue arrangements, analysis transactions with key customers, perform 3-way analysis on revenue, receivables and cash collection.

3. **Overstatement of inventories:**

During physical verification on inventories, we have identified missing and expired inventories which was not written off by management. Overstating inventory will lead to lower cost of goods sold and eventually contribute in lowering loss/ increasing profit. BCL is not performing well and generated a marginal profit. Hence, there is a chance that it overstated inventories to generate this profit. BCL may have overstated the inventories through valuation. There is a risk of overstatement of inventories through incorrect valuation.

Addressing risk area:

We need to review BCL policy of valuing inventories (FIFO or Weighted Average) and confirm that valuation method is applied consistently. Furthermore, we also need to confirm whether inventories have been recognized and reported under IAS 2- Inventories. We should obtain a valuation report from management and review its NRV determination process and related calculations. We should also review the cost of inventories and its comparison with NRV. We should also inquire management reason for holding high number of inventories and inventories holding costs. We should be very sceptic about inventory valuation to ensure inventories are not overstated.

4. **Overstatement of receivables:**

Trade receivables are the second largest component of the current assets. There is a litigation going on with a customer over outstanding receivables. Customers refused to pay for inferior and defective goods. This

raises a risk that other customers may also refuse to pay for similar reason. This indicates that receivables may have impaired. Therefore, there is a risk that trade receivables have also been overstated.

Addressing risk area:

We need to confirm existence of receivables with customers. Therefore, we should send confirmation to the major customers. Furthermore, we should obtain an aging analysis of outstanding receivables and confirm whether appropriate provision has been kept for long outstanding customers. We should also review the assumptions and rates used in making the allowance. We should keep special focus on the receivable for which litigation is ongoing to ensure full amount has been written off. As the trade receivables represents significant portion in working capital, we should inquire management for collection schedule of these receivables.

5. Impairment of fixed assets and investments:

Financial statements show significant amount of fixed assets. However, BCL is not able to generate much profit utilizing its assets. This raises a question that whether these assets exists or experienced impairment. BCL might have overstated the fixed asset to understate write down or impairment expenses. Furthermore, it may have reported asset held for sale as fixed assets.

Addressing risk area:

We should obtain the fixed asset register from management and perform a physical verification of assets to confirm their existence and physical condition. We should also check whether carrying amount has been calculated correctly. We need to review asset acquisition and disposal process and any acquisition/disposal of asset during the year.

We should also discuss with management for idle capacity of machines or idle/obsolete machines to identify trigger point for impairment. We should make inquiry to management whether there is any asset in process of sale or being held for sale.

In addition to these risk factors, we also have an ethical issue to address. One of our team members has been requested by BCL employee to help them in calculating deferred tax. The employee claims that he is not well versed with the calculation process. If we do the calculation for him in calculating deferred tax, it would be an instance of self-review threat and jeopardise our independence. Our entire team should maintain independence and comply with ethical standards.

Addressing the ethical issue:

As auditor we cannot make deferred tax calculation or any calculation for client. It is our duty to review their working and provide opinion whether those workings and resultant numbers are in accordance with financial reporting standards. We however can guide them by explaining and sharing the requirement of IFRS. We can share publicly available documents with clients which may be helpful for them to make the calculation. Once they share the calculation, we can review and confirm whether it is acceptable in light of IFRS. If it is not, we can revert to client with suggestion for adjustment.

Answer to the Question#: 3(a):

Accounting of software and website development cost

Accounting for software:

According to IAS 38- Intangible Assets, When the software is not an integral part of the related hardware, computer software is treated as an intangible asset. However, in case of internally generated intangible assets, expenses incurred in research phase can not be capitalized. Expense that incurred during development phase can be capitalized if it is directly attributable.

However, it needs to demonstrate that the DBL can obtain economic benefit from this intangible asset. Furthermore, DBL should demonstrate that it is feasible to develop the intangible assets and it has sufficient ability and intention to complete the intangible asset. Only then it can capitalize the development cost as intangible assets under IAS 38.

Once the software is recognized as intangible asset in accordance with IAS 38, it should determine the useful life of the asset. Although DBL management considers the software to have indefinite useful life, in reality useful life of software trends to be for short period due to technological changes. From this point, DBL can consider the period without major upgrade as useful life (i.e. 5 years) and amortize the software over 5 years.

Accounting for website development cost:

According to IAS 38 and SIC-32, website development cost can be recognized as intangible asset if, and only if, it is probable that the expected future economic benefits that are attributable to the asset will flow to the entity and the cost of the asset can be measured reliably. Furthermore, it should be feasible to complete the intangible asset so that it will be available for use or sale and DBL has intention and ability to complete the intangible asset.

As DBL website is capable of generating revenues, including direct revenues from enabling orders to be placed, it satisfies the requirement to demonstrate how its website will generate probable future economic benefits in accordance with IAS 38. Therefore, it should recognize website development expense as intangible assets. It should determine a useful life of the asset and amortize accordingly.

Answer to the Question#: 3(b):

Assessment of website domain and hosting constitutes lease

DBL management has registered its website domain address and purchased website hosting space for 5 years. It has the right to access and use the domain address and hosting space for its own use. These attributes are similar with rights of use assets in accordance with IFRS 16. Therefore, an assessment is required whether website domain and hosting constitute lease.

One of the key criteria in assessing lease under IFRS 16 is whether the lessor has the control having right to direct the use and substantive right to substitute the asset. DBL should assess the website domain and hosting using these criteria.

In case of domain, buyers register the domain for annual basis by paying registration cost. Once website domain is registered, domain providers cannot make any changes to the domain address or substitute the address. Domain buyers has the right whether to use or not to use the website and if used, for what purpose. Buyer receives the right to access and use the domain address. Therefore, it meets the requirement of lease under IFRS 16, and a right of use asset should be recognized when website is registered and amortized over registration period

However, it can also take the voluntary exemption route and recognize the website domain address as intangible assets with useful life till registration date. It can also take the low value asset exemption route (if website domain registration cost is low) and consider it to be service contract and write off as expense within registration period. If registration is done for multiple year, it can be recognized as pre-payment and adjusted throughout registered period. From this perspective, accounting in either case will be same.

As for the website hosting space, hosting provider allows buyer a certain space to be used by the buyer for any purpose it wants. However, here the asset is hosting space but not the underlying hosting equipment. That means hosting provider can determine from which histing equipment this space will be provided any the space could be substitute from any of the underlying data storage. Because the hosting space can be substituted, it will not fall under the scope of IFRS 16 and should be charge as expense over the period space brought for.

Answer to the Question#: 3(c):

Audit procedures for DBL intangible assets:

Auditing internally generated intangible assets under International Standards on Auditing (ISA) involves a series of procedures that auditors should follow to ensure the assets are properly recognized and valued in the financial statements. Below are the key procedures that should be performed for auditing internally generated intangible assets under ISA:

- **Understand the Entity and Its Environment:**
  Gain an understanding of the entity's industry, operations, and business environment. Identify the entity's objectives, strategies, and the significance of internally generated intangible assets.

- **Identifying and assessing risks:**
  Identify and assess the risks of material misstatement associated with intangible assets, including the risk of misstatement due to fraud or error. Develop an audit plan that includes the scope and objectives of the audit related to intangible assets.

- **Understand and Evaluate the Entity's Internal Controls:**
  Assess the effectiveness of the entity's internal controls relevant to the recognition, measurement, and disclosure of internally generated intangible assets.

- **Substantive Procedures:**
  Perform substantive procedures to detect and address material misstatements. This may include the following:
  - ► Gain an understanding of the nature and terms of the intangible assets.
  - ► Assess whether the internally generated intangible asset meets the recognition criteria as specified in IAS 38.
  - ► Evaluate the appropriateness of the valuation and measurement methods used for intangible assets.
  - ► Review the useful life determined by the entity to amortize the intangible assets.
  - ► Test the operating effectiveness of internal controls over the recognition and measurement of intangible assets.
  - ► Perform substantive analytical procedures to identify any significant fluctuations or anomalies in intangible asset balances.
  - ► Review contracts, agreements, and other documents related to the creation, acquisition, or disposal of intangible assets.
  - ► Consider the need to test for impairment of intangible assets and assess whether indicators of impairment exist.
  - ► Ensure that the intangible assets are appropriately disclosed in the financial statements in accordance with accounting standards.
  - ► Communicate any identified issues, concerns, or potential misstatements related to internally generated intangible assets with management and the board of directors, if necessary.

It should be noted that the specific procedures may vary depending on the nature of the intangible assets, the industry, and the entity's policies and procedures. Auditors must apply professional judgment and adapt their procedures accordingly.

Answer to the Question#: 3(d):

<u>Ethical view on sharing customer data and sending SMS:</u>
From an auditor's point of view, DBL's ethical stance in sharing customer data with third parties and sending promotional offers agreed by the customers is a complex issue that involves considerations related to data privacy, consent, transparency, and compliance with relevant regulations.

Data Privacy and Consent:
DBL has obtained customers' consent on sending promotional offers and sharing customer data with third parties. Even though it might be legal, but it might not be ethical for DBL. When collecting data from customers, it needs to ensure that customers have willingly agreed to share their data for specific purposes and understand how it will be used. There should be appropriate option to decline data sharing to third parties. Ethical companies take measures to secure customer data when sharing it with third parties. Ensuring data security is not only a legal requirement (under data protection regulations like GDPR) but also an ethical imperative to protect customers from data breaches and misuse. Customers should be able to easily access, correct, or delete their data and change their preferences regarding data sharing at any time.

Minimization of Data Sharing:
DBL should practice data minimization, which means sharing only the data necessary for the intended purpose. Unnecessary data sharing can pose greater risks to customers' privacy and may not be justified. DBL should establish mechanisms for oversight and accountability in data sharing practices.

Customer Data Security:
DBL has not taken appropriate security measures for customer database in its hosting space. Therefore, customer data can be breached, and customers may face financial and non-financial loss. DBL is concern about and spent significant amount for website security and website design. But it is careless about securing customer data. This raises question about DBL's ethical practice.

Sending multiple promotional SMS a day:
Customers have agreed to receive promotional SMS from DBL. Although it may be legal for them to send multiple SMS but it is not an ethical practice. Sending multiple SMS a day may annoy the customers and may lead to negative customer mindset. DBL should minimize the number of SMS it sends to the customers. It can have a survey with customers to determine the frequency customer wants to receive SMS.

DBL should prioritize the protection of customer data and uphold the trust placed in them by their customers. Violating these principles not only raises ethical concerns but can also result in significant reputational and legal risks.

Answer to the Question#: 4(a) (i):

Share warrants issued to the external consultant for listing service:

OCL issued 500 share warrants to CCL as part of variable payment. Share warrants will be exercisable if the share price of OCL exceeds BDT 20 at the year end. Each of these share options gives CCL the right to receive cash equivalent to 100 shares based on year-end price. This is a case of Cash-settled share-based payment transactions.

As OCL share price was BDT 24 at the year end, this share warrant becomes exercisable, and CCL is entitled to receive variable payment of (500 x 100 x 24) = BDT 1,200,000.

Therefore, OCL should make following journal to record the transaction:

Adj# 1	Consulting fee	Dr	1,200,000	
	Accounts Payable	Cr		1,200,000

Share options issued to the external consultant for book-keeping service:

On 01 January 2023, OCL entered into agreement with its consultant, CCL, that it would pay 50,000 taka per quarter or 30,000 shares per quarter. OCL intends to settle this by issuing shares. This is an instance of equity settled share-based payment transaction. As the transaction is with a third party and the fair value of the service can be measured reliably (BDT 500,000 per quarter), OCL should apply direct method and Measure at fair value of the services on the date they were received.

Till 30 June 2023, there are two quarter where OCL has received the service. Therefore, OCL has obligation to pay 30,000 shares to CCL, but it should be recognized at fair value of service at BDT 500,000. As payments are to be made in advance, OCL should record following entries:

Adj# 2	Consulting fee	Dr	500,000	
	Equity	Cr		500,000
	(On 01 January 2023)			
Adj# 3	Consulting fee	Dr	500,000	
	Equity	Cr		500,000
	(On 01 April 2023)			

Share options that vest immediately:

On 30 June 2023, OCL issued 50,000 share options to its CEO as performance bonus. The share vests immediately and CEO exercised them on the same day. As it vests immediately, OCL should recognize the expense immediately. Market price of the share is BDT 24 and share options were issued at free of cost. Therefore, OCL should enter following entry:

Adj# 4	Payroll cost (50,000 x 24)	Dr	12,00,000	
	Share capital (50,000 x 10)	Cr		500,000

	Share Premium (50,000 x 14)	Cr		700,000

Non-market-based share options issued to the employees

On 01 July 2022, OCL also issued 1,000 share options to each of its 100 employees. Options will vest if they are employed till 30 June 2025 and net profit for each year are 10% of more. Share options are valued at BDT 15 and management expects that 80 employees will remain employed by 30 June 2025. If net profit for the year reached 10%, OCL needs to recognize cost of (1000 x 80 x 15)/3 = 400,000 taka.

OCL need to check if adjusted net profit margin exceeds 10% at the year end.

Adjusted net profit for 2023:

Net Profit as per draft financial statements:	17,500,000
Less: Consulting fee (adj#1)	(1,200,000)
Less: Consulting fee (adj#2 & adj# 3)	(1,000,000)
Less: Payroll cost (Adj # 4)	(1,200,000)
Less: Payroll cost (non-market-based share option)	(400,000)
Adjusted net profit	**13,700,000**

Adjusted Net profit margin:

Adjusted net profit/ revenue = 13,700,000/ 95,000,000 = 14.42%.

Because the adjusted net profit margin exceeds 10%, OCL should recognize the proportionate expense with following entry:

Adj# 5	Payroll cost (1,000 x 80 x 15)/3	Dr	400,000	
	Equity Reserve (1,000 x 80 x 15)	Cr		400,000

Answer to the Question#: 4(a) (ii):

Calculation of Basis EPS:

Basic EPS = total earnings for the year / weighted average number of shares

In case of OCL, weighted average number of shares are:

Number of shares	Outstanding during the year	Weight	Weighted average
20,000,000	Jul to Jun	12/12	20,000,000
30,000	Jan to Jun	6/12	15,000
30,000	Apr to Jun	3/12	7,500
50,000	Jun to Jun	0/12	-
Total weighted average number of shares			**20,022,500**

Therefore, basic EPS is 13,700,000/20,022,500 = 0.68

Calculation of diluted EPS:

In order to calculate the diluted EPS, OCL need to add number of shares it might have to issue in future in addition to existing weighted average number of shares. Furthermore, it should consider adjustments to the net profit available to the ordinary shareholders.

Here following transactions have dilution impact:

For Contractual obligation to issue shares:

OCL has two more quarters remaining of the consulting agreement where it needs to issue 30,000 + 30,000 = 60,000 shares. Because of this, consulting expense of 500,000 x 2 = 1,000,000 to be adjusted with adjusted net profit available for ordinary shareholders.

For unvested share options:

OCL has share options that yet not vested. If those shares are vested, additional expenses to be recognized (80 x 1000 x15) *2/3 = 800,000. Therefore, incremental expense per share is BDT 800,000 / 80,000 = 10 Taka.

The total amount to be received on exercise is BDT (12 +10) x (80x 1000) = 22 x 80,000 = 1,760,000 the number of shares issued at average market price (24 Taka): 1,760,000/24 = 73,333
Therefore, free shares to be issued = 80,000 – 73,333 = 6,667. There will be no impact in the earnings for the year.

Calculation of DEPS:

Particulars	Ordinary Shares	Earnings	EPS
Ordinary Shares in issue	20,022,500	13,700,000	0.6842
For contractual consulting service	20082500	12,700,000	0.6323
For unvested share options	20089167	12,700,000	0.6321

Therefore, Diluted EPS of OCL is 0.6321.

Answer to the Question#: 4(b) (i):

Subject: Importance of quality control procedures

- In order to ensure all assurance engagements are carried out efficiently and effectively it is important the auditor carries out quality control procedures.
- ISA 220 Quality Control for an Audit of Financial Statements, paragraph 12 states that: *"The engagement partner shall be satisfied that appropriate procedures regarding the acceptance and continuance of client relationships and audit engagements have been followed, and shall determine that conclusions reached in this regard are appropriate."*
- Each registered auditor is required to establish and maintain quality control procedures appropriate to its circumstances.
- The firm's programme of quality assurance inspection has, as its main objective, to ensure that all engagements are conducted in accordance with the relevant policies and procedures.
- It is important they meet user's expectations/provide a reliable service.
- The work undertaken is performed to a high standard/provides value for money/in an efficient and cost- effective manner.
- The requirements of the Inspection Units/Auditing Standards are satisfied.
- They enhance the reputation of and increase confidence in the profession.
- To protect the assurance provider against negligence claims and disciplinary procedures.
- To ensure that engagements are only accepted for services for which the firm has the necessary competencies.
- To ensure that the predecessor auditors have been contacted to ensure there were no unusual circumstances surrounding their removal or resignation from their position of auditor.

Answer to the Question#: 4(b) (ii):

Importance of cyber security

- Today, there is a significant increase in cybercrime due to the reliance on technology in all aspects of life.
- It is vital that all businesses today, invest in cyber-security in order to protect themselves and their customers.
- This is an extremely important topic for management in all organisations, due to the increase in regulations and reporting requirements.
- As most people in today's society rely on technology in all aspects of life (laptop, iPad, iPhone), there sometimes can be a fine line between work and their personal life, which significantly increases

their vulnerability to a cyber-attack.

- As cyber-attacks are becoming increasingly sophisticated, it is important that organisations have appropriate IT security in place.
- Although the technology is extremely important in preventing a cyber-attack, it is vital that staff have received training in order to be aware of the processes to be implemented, and how to identify when they are coming under threat.
- If an organisation does not have appropriate measures in place, they may also suffer non-financial costs such as damage to their reputation and loss of trade – this may impact on going concern.

Role of the auditor

- In accordance with ISA 315, *'Identifying and assessing the risks of material misstatement through understanding the entity and its environment',* the auditor is required to carry out various risk assessment procedures in order to gain an understanding of the entity and its environment.
- The auditor should consider the following factors:
  - Accounting systems and technology – it is important that the entity is using appropriate accounting systems and technology that is up to date and can reduce the risk of cyber-crime.
  - General IT controls – it is important that the organisation is able to restrict access to sensitive information by unauthorised individuals. The auditor will check the IT controls the organisation has in place (such as usernames, passwords, how often the passwords are reset) to ensure they are appropriate.
  - Data Protection – the auditor should assess how the organisation protects the data it holds (this may be increasingly important where the entity has online sales).

- It is important that the auditor is made aware of any cyber attacks the organisation has faced, and if a breach of data protection has occurred. The auditor may be able to find out this information through management inquiries, a review of board minutes and media attention.

- If a breach of data protection has occurred, the auditor will have to consider the financial implications of the breach and whether a provision has been recorded within the financial statements in accordance with IAS 37. In addition, depending on the extent of the breach, the auditor may have to consider if there is any impact on the going concern of the organisation in accordance with ISA 570, *Going Concern*.

Answer to the Question#: 5(a):

Substantial knowledge and understanding of the business is required to interpret the results of analytical procedures - this knowledge may be lacking as firm is not the external auditor.

The use of analytical procedures requires an experienced member of staff to interpret the results and a trainee Accountant may not have the experience needed.

The use of analytical procedures relies upon good quality information but TFL's budgeting may not be reliable as actual turnover for retail trading was significantly less than budget.

There is a lack of comparability of information as TFL's business has changed significantly in the last period. For example, the business is growing rapidly, using different suppliers and operating retail units for which there is no comparative information.

Answer to the Question#: 5(b) (i) & (ii):

1. Airline revenue Enquiries

Why is the rate of growth out of line with recent growth rates particularly as an airline customer is in administration?

Is it due to:

- increase in selling prices?
- a change in the revenue recognition policy (for example, revenue recognised on order instead of despatch)?
- new airline contracts?
- misclassification of revenue from stores or the made-to-measure suit business?

Documentary information

Breakdown of revenue by airline

2. Gross profit margin Enquiries

Is the increase in gross margin due to:

- increased sales of higher margin items, for example:
  - cheaper prices for cloth?
  - Tucsodo brand/made-to-measure suits sold at a higher margin?
- availability of bulk discounts from suppliers?
- understatement of purchases?
- overstatement of closing inventory?
- understatement of labour costs?
- Inappropriate cut-off procedures?

Documentary information

Schedule of selling prices and costs for:

- airline uniforms
- Tucsodo suits
- made-to-measure suits

3. Operating margin Enquiries

Why is the fall in operating margin out of line with the increase in the gross profit margin? Is it due to:

- misclassification of costs between cost of sales and operating expenses?
- provisions for damages and legal costs in respect of the trademark infringement?
- retail unit fitting out costs incorrectly expensed/not capitalised?
- retail unit running costs, such as rent and staff costs?

Documentary information

- Breakdown of operating costs
- Correspondence from the competitor and lawyers regarding the trademark infringement Copies of rental agreements for the retail units

Inventory Enquiries

Is the significant increase in inventory days due to:

- build-up of made-to-measure inventory?
- any obsolete inventory, outdated airline uniforms or inventory for the airline in administration?
- Is the inventory balance up to date and supported by continuous records?
- What is the frequency of counts and how are differences between physical inventory and inventory records accounted for?

Documentary information

Breakdown of inventory figure/aged inventory report Results of any inventory counting procedures

4. Trade receivables Enquiries

The trade receivables collection period has increased and is 13 days greater than the 30 days credit terms

offered.
Is this due to:

- overstatement of receivables?
- a relaxation in credit terms or changes in the credit control function?
- the airline entering administration or irrecoverable debts?

Documentary information

- Aged receivables listing
- Contracts and correspondence with customers Correspondence with the administrator of the airline

5. Trade payables Enquiries

Is the fall in payable days due to:

- understatement of payables?
- unrecorded invoices?
- tighter credit terms imposed by new suppliers?
- early payment to take advantage of discounts?

Documentary information Trade payables listing Contracts with main suppliers

General documentary information

- Budgets for the next period and the corresponding period
- Management accounts for the next period and the corresponding period
- Industry and competitor information
- Board minutes
- Bank statements
- Past audited financial statements.

---The End---